

Procurement Policy Handbook

Meridian Industrial Systems Limited | Version 4.2 | Effective 01 April 2025 | Owner: Head of Procurement | Reviewed annually. All values in Indian Rupees (Rs.); 1 lakh = 100,000 and 1 crore = 10,000,000.

1. Purpose and scope

This handbook sets out the rules that govern how Meridian Industrial Systems Limited buys goods and services, how suppliers are classified and measured, what happens when performance falls short, how much inventory cover must be held, and who may approve what. It applies to all direct and indirect procurement at every Meridian plant and to every employee who commits Meridian to a supplier.

This handbook states rules only. Measured supplier performance for a given quarter is published separately by the Supply Chain Performance Office in the quarterly Supply Chain Performance Review. Where a rule refers to a figure such as on-time delivery or defect rate, the figure is to be taken from the scorecard published in that review.

2. Supplier classification

2.1 Classification categories

Every supplier is placed in exactly one of the following **four classification categories**. The category is reviewed annually and determines governance, contracting and sourcing obligations.

Category	Qualifying condition	Governance requirement	Contracting
Strategic	Annual spend above Rs. 25 crore, or sole source for any Class-A part	Executive sponsor appointed; quarterly business review with the Procurement Director	Three-year agreement with annual price review
Critical	Annual spend from Rs. 5 crore up to Rs. 25 crore, or supplies a part whose shortage would stop a production line within five working days	Monthly scorecard; quarterly performance meeting with the Category Manager	Two-year agreement
Preferred	Annual spend from Rs. 50 lakh up to Rs. 5 crore, and band A or band B sustained for four consecutive quarters	Quarterly scorecard	One-year agreement or rate contract
Transactional	Annual spend below Rs. 50 lakh, catalogue or commodity items	Annual review only	Purchase order terms only

2.1.1 Probation is a **status** and not a classification category. A supplier placed on probation under clause 7 keeps its existing category but is not eligible for new part awards while the probation runs.

2.1.2 Where a supplier meets the qualifying condition for more than one category, the higher category applies. Category changes take effect from the start of the next quarter.

2.2 Performance bands

Separately from its category, every supplier is awarded a performance band each quarter from its composite score. The band, not the category, drives escalation under clause 8.

Band	Composite score	Standing
A	90.0 and above	Preferred for new business
B	80.0 to 89.9	Acceptable
C	70.0 to 79.9	Below acceptable; Watch List entry required
D	Below 70.0	Unacceptable; re-sourcing to be planned

2.2.1 The composite score is calculated as 40% on-time delivery, 35% quality, 15% cost competitiveness and 10% responsiveness. Bands B, C and D are all below band A; the expression "below band B" in this handbook means band C or band D.

3. Approval authority

3.1 Purchase order approval limits

No purchase order may be released without approval at or above the level shown below for its total value, inclusive of taxes and freight. The limits are cumulative over the full committed value of the order, not the value of an individual release.

Purchase order value	Approving authority	Additional requirement
Up to Rs. 5 lakh	Buyer	None
Above Rs. 5 lakh and up to Rs. 25 lakh	Category Manager	Two written quotations on file
Above Rs. 25 lakh and up to Rs. 1 crore	Head of Procurement	Three written quotations and a price comparison statement
Above Rs. 1 crore and up to Rs. 2.5 crore	Procurement Director	Countersignature of the Chief Financial Officer, plus a documented negotiation record
Above Rs. 2.5 crore and up to Rs. 10 crore	Executive Committee	Noting by the Board Procurement Sub-committee at its next meeting
Above Rs. 10 crore	Board of Directors	Business case approved by the Chief Executive Officer before the order is placed

3.1.1 A purchase order worth more than Rs. 1 crore and not more than Rs. 2.5 crore is approved by the Procurement Director and countersigned by the Chief Financial Officer. A worked example: an order of Rs. 1.4 crore falls in this band, so the Procurement Director approves it, the Chief Financial Officer countersigns it, and a documented negotiation record is filed with it. Neither the Head of Procurement nor the Category Manager may release an order of this value.

3.1.2 Splitting is prohibited. An order must not be divided to bring any part of it under an approval limit. Two or more purchase orders placed on the same supplier for the same part within any 30-day period are treated as a single order at their combined value for the purpose of clause 3.1.

3.1.3 Emergency purchases needed to prevent or end a line stoppage may be approved by the Plant Head up to Rs. 15 lakh, and must be ratified by the authority named in clause 3.1 within three working days.

4. Sourcing rules

4.1 Competitive sourcing

4.1.1 Any requirement above Rs. 25 lakh must be competitively bid with at least three qualified sources, unless a single-source justification is approved under clause 4.2.

4.2 Single sourcing and sole sourcing

4.2.1 Dual sourcing is mandatory for every part supplied by a Strategic or Critical supplier. A part is single-sourced when only one supplier is approved to supply it, and sole-sourced when only one supplier exists worldwide that is capable of supplying it.

4.2.2 Where a part is single-sourced, **all** of the following are required, and the position must be reported in the quarterly review until it is closed:

- (a) a written single-source justification approved by the Procurement Director and renewed every 12 months;
- (b) a buffer stock of not less than **eight weeks** of average demand, held either at Meridian's premises or in a bonded warehouse within 50 km of the receiving plant;
- (c) an alternate-source qualification plan with a committed completion date not more than **two quarters** from the date the single-source status was recorded;
- (d) a review at every meeting of the Supplier Review Board until an alternate source is qualified;
- (e) for an **imported** single-sourced part, a further two weeks of buffer over and above (b), giving ten weeks in total, and a nominated air-freight contingency lane kept open at all times.

4.2.3 Where the qualification plan required by clause 4.2.2(c) passes its committed completion date, the Procurement Director must report the overrun to the Executive Committee at its next meeting, and no new part may be awarded to that supplier until an alternate source is qualified.

4.2.4 A sole-sourced part carries every requirement of clause 4.2.2 except (c), which may be waived by the Executive Committee, and additionally requires an annual technology and continuity review with the supplier.

5. Inventory and safety stock

5.1 Basis of measurement

5.1.1 Safety stock is expressed in days of cover. One day of cover is the average daily demand for the part over the trailing quarter. Total replenishment lead time is the sum of the supplier's production lead time, the transit time, and the time taken for customs clearance and inbound inspection.

5.2 Calculated safety stock

5.2.1 The calculated safety stock for every planned part is:

Safety stock in days of cover = (0.25 x total replenishment lead time in days) + 3 days

The result is rounded up to the next whole day. To convert to units, multiply the days of cover by the average daily demand.

5.3 Minimum floors

5.3.1 Irrespective of the value produced by clause 5.2.1, the minimum floors in the table below apply. **Where the calculated value and the applicable floor differ, the higher of the two applies.** A calculated value below the floor must never be used.

Part sourcing profile	Minimum days of cover
Domestic, total replenishment lead time up to 15 days	5 days
Domestic, total replenishment lead time above 15 days	10 days
Imported, total replenishment lead time up to 30 days	15 days
Imported, total replenishment lead time above 30 days and up to 45 days	18 days

Part sourcing profile	Minimum days of cover
Imported, total replenishment lead time above 45 days	24 days
Single-sourced and imported, any lead time	30 days

5.3.2 Where more than one floor in clause 5.3.1 applies to the same part, the **highest** applicable floor is used. For example, a part that is imported with a total replenishment lead time of 46 days attracts a floor of 24 days; if that same part is also single-sourced, the floor of 30 days applies instead.

5.3.3 Buffer stock required by clause 4.2.2(b) or 4.2.2(e) for a single-sourced part is held in addition to the safety stock required by this section, and may not be counted towards it.

5.4 Review triggers

5.4.1 Safety stock must be recalculated whenever the total replenishment lead time for a part changes by more than five days, whenever average daily demand changes by more than 15%, and in every case at the close of each financial year. Recalculation is the responsibility of the Head of Materials Planning.

6. Supplier performance measurement

6.1.1 Scorecards are published quarterly by the Supply Chain Performance Office within 20 days of the quarter close, and cover on-time delivery, quality, cost and responsiveness.

6.2.1 A delivery is on time when the full ordered quantity is received at the nominated dock no earlier than two days before, and no later than, the confirmed delivery date. A partial delivery is counted as late in full. On-time delivery for a quarter is the percentage of order lines meeting this test.

6.3.1 The defect rate is stated in defects per million parts received (PPM), counting defects found at incoming inspection, on the line, and in warranty returns traced to the supplier, for the quarter to which the scorecard relates.

7. Consequences of underperformance

Each clause in this section states its own trigger condition and the consequence that follows. More than one clause may be triggered by the same supplier in the same quarter, in which case every triggered clause applies, subject only to the cap in clause 7.7. Quarterly invoice value is defined in clause 10.

7.1 Delivery: first quarter below the threshold

7.1 Trigger: a supplier's on-time delivery falls below 90% in any quarter. **Consequence:** the Category Manager issues a formal Performance Notice within 10 working days of the scorecard being published; the supplier submits a corrective action plan in 8D format within 15 working days; and delivery is reviewed weekly until on-time delivery is above 95% for two consecutive months. No financial recovery arises under this clause alone.

7.2 Delivery: second consecutive quarter below the threshold

7.2 Trigger: a supplier's on-time delivery remains below 90% for two consecutive quarters. **Consequence:** in addition to clause 7.1, (a) a **debit note equal to 2% of the quarterly invoice value** is raised against the supplier; (b) the supplier is placed on probation for two quarters and is not eligible for new part awards during that period; (c) the supplier's band is reduced by one grade irrespective of its composite score; and (d) the case is escalated to the Supplier Review Board.

7.3 Delivery: third consecutive quarter below the threshold

7.3 Trigger: a supplier's on-time delivery remains below 90% for three consecutive quarters. **Consequence:** the debit note rises to **5% of the quarterly invoice value**; not less than 25% of the part demand is re-allocated to an alternate source; and de-listing is tabled at the next Supplier Review Board.

7.4 Quality: defect rate from 500 to 1,000 PPM

7.4 Trigger: a supplier's defect rate for the quarter is from 500 to 1,000 defects per million, both figures inclusive. **Consequence:** the supplier bears the **full cost of containment, sorting and rework**, recovered at Meridian's standard rate of **Rs. 1,850 per hour**, together with a fixed **quality administration charge of Rs. 40,000 for each quality incident** recorded in the quarter. A corrective action plan in 8D format is required within 15 working days. No debit note on invoice value arises under this clause.

7.5 Quality: defect rate above 1,000 PPM

7.5 Trigger: a supplier's defect rate for the quarter is above 1,000 defects per million. **Consequence:** (a) a **debit note equal to 3% of the quarterly invoice value** is raised; (b) 100% inspection is carried out at the supplier's cost, at the supplier's works or by a third party nominated by Meridian, until three consecutive lots are accepted; (c) the supplier is placed on probation for two quarters; and (d) the supplier's band is set to C or lower until the defect rate is below 500 PPM for two consecutive quarters. The charges in clause 7.4 do not apply in addition to this clause.

7.6 Line stoppage caused by a supplier

7.6 Trigger: a production line stoppage is directly attributable to a supplier's late delivery, short shipment or defective material. **Consequence:** the supplier is charged the lost contribution margin at Meridian's standard rate of **Rs. 4.5 lakh per hour** of downtime, subject to a cap of 10% of that supplier's quarterly invoice value. Any single stoppage longer than four hours is additionally reported to the Supplier Review Board.

7.7 Cap on total recoveries

7.7 Total recoveries raised against a supplier under clauses 7.2, 7.3, 7.4, 7.5 and 7.6 in any single quarter must not exceed **12% of that supplier's quarterly invoice value**. Where the sum of the individual recoveries exceeds the cap, the recoveries are abated proportionately.

7.8 Disputes

7.8 A supplier may dispute a debit note within 15 working days of issue, in writing and with supporting evidence. The Head of Procurement decides the dispute within 10 working days. A disputed debit note is held in abeyance until decided, but the corrective action and any inspection requirement continue to apply meanwhile.

8. Escalation

8.1 Escalation stages for supplier performance

Escalation is driven by the performance band awarded under clause 2.2. Each stage carries the stage below it.

Stage	Trigger	Owner	Required action and timeline
1	Band B for two consecutive quarters	Buyer	Corrective action plan agreed and reviewed fortnightly; closed within 30 days
2	Band C in any quarter	Category Manager	Performance improvement plan agreed within 15 working days; monthly review; closed within 60 days
3	Band C for two consecutive quarters, or band D in any quarter	Head of Supply Chain	Formal escalation letter to the supplier's Managing Director; on-site assessment within 30 days; recovery plan agreed within 45 days
4	No improvement after stage 3, or band D for two consecutive quarters	Supplier Review Board, chaired by the Chief Operating Officer	De-listing decision taken and a re-sourcing plan approved within one quarter

8.2 Watch List and the Supplier Review Board

8.2.1 Any supplier whose band falls **below band B**, that is to say band C or band D, in any quarter is entered on the Watch List maintained by the Head of Supply Chain, is reviewed at the monthly Supplier Review Board meeting, and receives no new part awards until its band has returned to B or above for two consecutive quarters.

8.2.2 The Supplier Review Board meets monthly. It is chaired by the Chief Operating Officer and attended by the Procurement Director, the Head of Supply Chain, the Head of Quality and the Category Manager responsible for the supplier under review.

8.2.3 Where a supplier is escalated under both a delivery clause in section 7 and a band trigger in clause 8.1, the higher stage applies and a single combined escalation is run.

8.3 Escalation of a supply interruption

8.3.1 A stock-out or stoppage that threatens more than one shift is escalated the same day to the Head of Supply Chain, and where it threatens more than three shifts, to the Chief Operating Officer.

9. Records and audit

9.1.1 Purchase orders, approvals, quotations, negotiation records, scorecards, debit notes and dispute decisions are retained for seven years and are subject to internal audit twice each financial year.

10. Definitions

Term	Meaning in this handbook
On-time delivery (OTD)	The percentage of order lines received in full at the nominated dock within the window defined in clause 6.2.1
Defect rate (PPM)	Defects per million parts received, counted as set out in clause 6.3.1
Quarterly invoice value	The total value invoiced by the supplier during the quarter to which the scorecard relates, excluding taxes
Days of cover	Stock on hand divided by average daily demand for the trailing quarter
Composite score	The weighted score defined in clause 2.2.1
Band	The quarterly grade A, B, C or D awarded under clause 2.2
Below band B	Band C or band D

Term	Meaning in this handbook
Total replenishment lead time	Supplier production lead time plus transit time plus customs clearance and inbound inspection time, as defined in clause 5.1.1
Class-A part	A part whose shortage stops a production line within two working days
Probation	A status under which a supplier receives no new part awards for the stated period

End of version 4.2. This handbook contains no figures for any individual supplier's measured performance; those are published quarterly in the Supply Chain Performance Review.